IN THE SUPREME COURT
STATE OF SOUTH DAKOTA

In the Matter of the Administrative Appeal of
GARRY EHLEBRACHT, STEVEN GREBER, MARY GREBER,
RICHARD RALL, AMY RALL and LARETTA KRANZ,
Appellants,
v.
SOUTH DAKOTA PUUBLIC UTILITIES COMMISSION and
CROWNED RIDGE WIND II, LLC,
Appellees.

29610
19CIV20-000021

Appeal from Circuit Court, Third Judicial Circuit, Deuel County, South Dakota
The Honorable Dawn Elshere, Presiding

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INTRODUCTORY STATEMENT

Appellants, Garry Ehlebracht, Steve Greber, Mary Greber, Richard Rall, Amy Rall and Laretta Kranz, will be referenced by their full names or generally as Appellants. South Dakota Public Utilities Commission, Appellee, will be referenced as PUC or Agency. Agency issued a Facility Siting Permit ("Permit") for a large-scale wind farm project ("Project") to Appellee Crowned Ridge Wind II, LLC, generally referenced as Applicant or Crowned Ridge II.

The Agency's accumulated record is massive (about 15,000 pages). References to that record employ the prefix "R" followed by page(s). When referring to a specific document, numbered-lettered as an exhibit, the reference is underscored, as in "Ex. A12-1," followed by citation to the Agency's record. The transcript of argument to the PUC on claims of "confidentiality" (September 17, 2019) is referenced as "TR-A" followed by page and line. Testimony during the Agency's evidentiary hearing (February 4-6, 2020) is cited "TR-H" followed by page and line. The circuit court heard argument on November 23, 2020; that transcript is referenced as "TR-C," with page and line. Citations to the Clerk's Record appear as "CR"- followed by page in the Clerk's index.

Reference herein to "Effects" potentially includes many undesirable consequences when humans are asked (or required, without their consent) to live in the immediate vicinity of a Project. The term is especially used for two chief among them, "Noise" and "Shadow Flicker." As commonly used in the record, "Participant" is a landowner who has given a wind turbine lease to Applicant, an instrument that also includes a litany of easements, including an "Effects Easement." The Participant may also happen to live in the vicinity of wind turbines, but not necessarily. "Non-Participant," on the other hand,

references a landowner not granting leases or easements to Applicant. This term is used in a more narrow sense, with Applicant's experts focusing not upon the open lands but only the "occupied dwellings" (the homes) of the Non-Participants.[1] The Non-Participant *always* lives in close proximity to the Project, while having *never* executed an instrument accepting the Effects upon the Non-Participant's residence.

JURISDICTIONAL STATEMENT

The circuit court's order of March 12, 2021 (see Appendix B, CR-1566), incorporates the court's previously issued memorandum opinion ("Mem. Op.," CR-1528, see Appendix A), affirming the Agency's decision and order of April 6, 2020. R014230. Notice of entry of the order was served March 15, 2021. CR-1586. Notice of Appeal was filed April 6, 2021. CR-1609. This Court has jurisdiction under SDCL 15-26A-3. This appeal is pursued by the same Appellants as in # 29352, submitted on briefs in November 2020, challenging Deuel County's use of the Zoning Power to accommodate this Project.

STATEMENT OF LEGAL ISSUES AND AUTHORITIES

Appellants' docketing statement, filed April 6, 2021, identifies the issues presented to the circuit court, and for further consideration, as follows:

Issue 1:

> Whether the Agency, authorized to promulgate rules concerning wind energy conversion facilities (SDCL 49-41B-35) but adopting no relevant

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[1] Quantifying the Effects is reserved for "occupied dwellings," and *never* at the property line of Non-Participants. Under the applicable zoning ordinances, Participants – *if they happen to live there* – are eligible to receive somewhat greater doses of Noise, as an Effect. The casting of "Effects" upon agricultural lands matters not to the PUC - only occupied dwellings are considered.

rules as to the meaning of "minimal adverse effects,"[2] may proceed on a case-by-case or *ad hoc* basis to permit a burden of "Effects" upon both citizens and their properties under variable regulatory limits developed by others, including those interested in the promotion of wind development[?]

Agency's Decision on Issue 1: As per the Agency's customary practice in several prior cases, Permit Condition 26, as to Noise and measurement [R014252] a sound level of 45 dBA for Non-Participants, and Permit Condition 35, as to Shadow Flicker [R014255] an annual limit of 30 hours, have been imposed based on testimony of Applicant's experts, and experts hired and called by Staff.[3]

Trial Court's Decision on Issue 1: The trial court concluded the Agency is permitted – *but not required* - to adopt rules concerning the statutory standard of "minimal adverse effects." (Mem. Op., 14-16, CR-1542).

Issue 1 is restated as follows:

Issue 1-A: Whether the Agency, charged with ensuring "minimal adverse effects" are received by neighbors, has discretion to impose, on an ad hoc basis, variable limits for intensity and duration of the Effects (noise and shadow flicker)?

Issue 1-B: Whether the Agency's practice of a case-by-case approach to regulation, while failing to adopt a statewide standard for adverse effects emitted by a Project onto the public, violates Appellants' rights otherwise assured by state and federal constitutions?

Issue 2:

Whether SDCL 43-13-2, "Easements and Servitudes," applies to the land and property interests of Appellants, bearing on the Applicant's claimed right to hereafter discharge adulterated light (in the form of Shadow Flicker, along with other Effects) onto and into the dwellings and lands of Appellants, given that the Agency's Decision offers or affords approval of such discharge but without the required consent of the fee owner[?]

Agency's Decision on Issue 2: While the PUC's Decision notes the names of Appellants [R014233], the Agency failed to make *any* pertinent findings or conclusions as to their particular land-based interests as nearby

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[2] ARSD 20:10:21:12, citing to the Legislative findings in SDCL 49-41B-1, speaks in terms of "efforts of the utility to . . . minimize or avoid adverse environmental, social, economic, health, public safety, and historic or aesthetic preservation effects."

[3] Each condition being *more* favorable to Applicant, and *less* so to Appellants, than the Agency's *ad hoc* determinations in *Prevailing Wind Park*, if such had been imposed here.

Non-Participants, including their claimed right as landowners to avoid burdens and servitudes of the Effects to be thrown off by the Project, other than to find, Finding of Fact 34, "Applicant has all land rights needed to construct and operate the Project." Appellants challenge that accuracy of finding, as the Project, without benefit of easement, will cast the Effects on their homes and lands.

Trial Court's Decision on Issue 2: Taking note, at 16, of Staff's argument the PUC "is not a court of general jurisdiction and has no authority to assess property rights, nor waive any underlying law, ordinance or regulation that otherwise applies to the construction of wind turbines," the trial court concluded the statute that Appellants rely on (SDCL 43-13-2(8), suggesting that the "right to discharge light upon and over land is an affirmative easement") is a matter beyond the jurisdiction of the Agency. With the PUC making no relevant determinations concerning easements,[4] the trial court concluded it need "not weigh into the question of easements" (Mem. Op., at 17, CR-1545).[5]

Issue 2 is restated to this Court as follows (Issue 2-C, as stated in Appellants' Docketing Statement, is merged into Issue 2-A):

Issue 2-A: Whether the Applicant, holding Effects Easements from Participants, is entitled or privileged by law, or the Agency's Permit, to cast or emit the "effects" (both noise and shadow flicker) on nearby Non-Participants, without benefit of similar easements?

Issue 2-B: Whether Applicant's casting of shadow flicker on Non-Participants, having granted no easements to Applicant, conflicts with the rights and privileges of such landowners under SDCL 43-13-2(8)?

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[4] And indeed, the Agency did not, since it never inquired whether the casting of "Effects" upon Non-Participants also entails the need for an "Effects Easement," as Applicant obtained from *each* Participant. The issue was not addressed by the Agency, but the trial court could have done so given the scope of inquiry permitted by SDCL 1-26-36. The Agency's decision is a *de facto* easement, though lacking Appellants' signatures and unrecorded in the land records office of Deuel County. The PUC decision embodies Applicant's entitlement claims, just as if it *were* the dominant estate owner in relation to the homes and lands of Appellants.

[5] SDCL 1-26-36 permits inquiry, *inter alia*, as to whether the substantial rights of appellant are prejudiced because the agency "inferences" or decisions are "in violation of constitutional or statutory provisions." Appellants, as landowners, homeowners and citizens of the United States, have consistently made that assertion below, to no avail.

Issue 3:

> Whether the exercise of the Agency's permitting authority under Chapter 49-41B, SDCL, giving approval for the casting of Effects over the homes and lands of Non-Participants, but without an easement being conferred in favor of Applicant and also without the provisions of SDCL 21-35-31 having been invoked, is a taking of Appellants' private property interests?
>
> *Agency's Decision on Issue 3:* The PUC decision, beyond noting the names of Appellants [R014233], made no findings or conclusions regarding the property rights of Appellants, as Non-Participants, other than expressly approving the flow of Effects thereon in accordance with Permit Conditions 26 and 35 [R014251, 014255].
>
> *Trial Court's Decision on Issue 3:* Citing *Benson v. State*, 710 N.W.2d 131, 149 (S.D. 2006), the trial court concluded (Mem. Op., 17) Appellants failed under each of the four theories of "taking" available under South Dakota case law.[6] The trial court further concluded the question of whether the Project is a nuisance *per se* is not ripe.[7]
>
> Issue 3 is now restated thusly:
>
> ***Issue 3-A:*** Whether the Agency decision, expressly approving the intensity and duration for the casting or emission of "Effects" (noise and shadow flicker) upon Non-Participants (including Appellants) represents a *per se* taking of interests (an easement) in the lands and property interests of Non-Participants?

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[6] Namely, a regulatory physical taking; a permanent physical invasion of property; depriving owner of all economically beneficial uses of property; and a land-use exaction violating standards. This Court's decision in *Benson* is cited by the briefs of both Petitioner and Respondent as argued to the U.S. Supreme Court on March 22, 2021, No. 20-107, *Cedar Point Nursery v. Shiroma*, on writ of certiorari to the U.S. Court of Appeals for the Ninth Circuit (prior decision reported at 956 F.3d 1162). *Cedar Point* involves a state access regulation that has the effect of an easement, a taking of private property without just compensation. The PUC order here is comparable to an "Effects Easement," even though *not* conferred under a volitional instrument uttered by the fee owner (Appellant Kranz). The decision operates *just as if* an easement had been taken.

[7] Reference to a potential nuisance claim challenged the PUC decision, the Project being expressly approved to cast "Effects" (the maximum dosage being specified by the Agency). *That* particular ceiling of intensity or duration of Effects becomes the legal standard for this permanent land use. When otherwise observing that specified allotment, the Project is seemingly beyond challenge under the nuisance law, given the language of SDCL 21-10-1 and -2, in particular.

Issue 3-B: Whether the Agency decision, expressly approving certain levels or durations of the Project's adverse effects upon the homes and lands of Non-Participants (including Appellants) vitiates the nuisance laws as a potential remedy available to Non-Participants, thus representing a taking of property rights otherwise secured by law?

STATEMENT OF FACTS

Appellants are neighbors, all living within several miles of Goodwin, a small village in Deuel County. Ehlebracht and Kranz are to the south, very near Bemis, while the Grebers and Ralls are to the northeast. The four homes and associated lands are nonconsensually embraced by Applicant behind the Project's rendered boundary line, represented by four "red dots." Ex. A14-2, R011280.

Appellants' individual sites are smaller parcels, with the exception of Mrs. Kranz' farm at Bemis. Applicant's affiliate sought - in or about 2013, without success - to obtain a wind turbine site lease with myriad easements from Appellant Kranz, a document commonly referenced as the "Kranz Easement." Ex I-2, R013272. Applicant sought to exclude the Kranz Easement (R001499-001525) from the record based on a claim of confidentiality, with the "application for party status (corrected)" [R001197] being partially expunged from the record for a time at Applicant's behest. R001215.

Applicant's attempt to retain secrecy for the Kranz Easement – first, as to Section 5.2 (the "Effects Easement") but in particular, Section 11.10 ("Remediation of Glare and Shadow Flicker") – remains relevant to this case.[8] Applicant argued these two sections deserved confidential treatment, as potential "competitors [might] use [that information] to develop more attractive offers to landowners, which . . . directly impacts the competitiveness of Crowned Ridge Wind II's affiliates . . . ." TR-A 5:4, R001988.

[8] Sections 5.2 and 11.10 of the Kranz Easement are replicated in Appendix C.

> Given this assertion, Commissioner Nelson observed: [Counsel's] reasoning for keeping this confidential - - and I'm going to quote this. He said today "to prevent more attractive offers to landowners." Well, when we get all of these developers coming to South Dakota, one of the things that they are contending is, by golly, you should approve our Application because we are benefitting landowners. And now he's saying, well, by golly, we wouldn't want to do anything to further improve the offer to landowners. I just find that offensive as it relates to South Dakota landowners. TR-A 15:16-16:4, R001998.

The Commissioner is concerned for the interests of South Dakota landowners in privity with Applicant. And what of Non-Participants? As to their homes and lands, the Agency has done nothing to blunt the competitive aims of Applicant or those promoting like projects.[9] As such, Applicant is allowed to make use of the lands and homes of Non-Participants, *and permanently*, a gift of sorts now fully confirmed by the Agency's order.[10]

The Agency ruled the challenged provisions were not entitled to confidential treatment (R003224). The comments of counsel - and Commissioner Nelson's response - demonstrate also the shift in wind farm development strategies from the era of the Kranz Easement (2013) to the recent submission of this Project to the Agency.[11]

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[9] The PUC's own expert, Hessler, opined the Project was "aggressively devised" (Ex. S2, R012746; TR-H 497-8); this remarkable statement is *never* referenced in the Agency's deliberations or decision. When a Project is readily permitted notwithstanding such a design, is the PUC effectively protecting both the property interests *and* persons of Non-Participants?

[10] Not one Commissioner expressed concern over this fact.

[11] Applicant still obtains "Effects Easement" (much like Section 5.2, *see* Appendix C), while assuming no contractual obligation to Participants, as with Section 11.10, to subsequently address glare and Shadow Flicker concerns. As to Non-Participants, no such obligation was ever assumed by Applicant, and the Agency's decision fails to impose one.

Both Applicant and Staff called expert witnesses to provide opinions and literature about the likely impact and risks of the "Effects" on the lives of Non-Participants, as neither statute nor regulations establish intensity or duration parameters. From this array of witnesses, and the recommendations of Staff, the Agency imposed limits for both Noise and Shadow Flicker, measured at or near the occupied dwellings of Non-Participants. (See Permit Conditions 26 and 35, R014252, 014255.)

Witness Chris Ollson, an environmental consultant, adduced copious volumes of wind farm literature, "Effects" ranging from annoyance, distress, sleep disorders, Noise, and Shadow Flicker.[12] Ollson's Ex. A12-16 (R006006) in both German and English, is the origin of the premise[13] that humans will withstand certain doses of Shadow Flicker without ill effect. A cursory review of the German study ("Information on How to Identify and Assess Optical Immissions Wind Turbines," dated 2002) establishes that Shadow Flicker is not "significantly harassing" if not exceeding 30 hours per calendar year and "beyond no more than 30 minutes per calendar day." R006011. The German study also provides for a limit of "8 hours per calendar year." R006012. Ollson's Ex. A12-15 (at R005988, with a slightly different summary at R005952) explains the German study recommendations:

"German guidance (2002) adopts two maximum limits:

• An astronomic worst case scenario limits of 30 hours per year or 30 minutes on the worst affect day; and

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[12] Ollson's prepared testimony, (Ex. A12, R005696) is followed by fifteen articles, some being Ollson's own work, Ex. A12-2 to Ex. A12-16, as referenced and identified further in Appendix D, *infra*.

[13] In Germany, now said to be commonly accepted everywhere. R002023. In reality, only a *one-half of one element* of the *two-part* German standard is deployed by the PUC.

• A realistic scenario taking account of meteorological parameters limited to 8 hours per year."

Hence, the Agency applies merely *one-half of one* of the *two* maximum limits devised by German officials. As recounted by Staff witness Kearney (Ex. S1, R011799), the PUC has *always* used the 30 hour per year limit for Shadow Flicker – except in the case of *Prevailing Wind Park* (EL-18-026), with limits set at 15 hours per year, along with a daily limit of 30 minutes (unless the residence owner had signed a waiver). R011810.[14] Witness Kearney further explained that Staff recommended "30 hours per year" (TR-H 573:10-13) for the *Prevailing Wind Park* matter. The applicant agreed, but the Commission, on its own motion, "changed it to 15 hours per year." (*Id.*) Kearney understands the usual annual limit of 30 hours has come into being because of a "determined court case, and it's kind of slowly filtered through the U.S. in a lot of zoning ordinances and state ordinances." TR-H 570:11-15.[15]

Witness Kearney testified that Staff relies on expert witness Hessler for sound guidance, being aware of the distinction between the expert's "ideal design goal of 40 [dBA] and the regulatory permit limit of 45 dBA." TR-H 575:14-17.[16] In *Prevailing Wind Park*, the noise limit for Non-Participants was set at 40 dBA (R011808), which happens

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[14] A wind farm in Bon Homme, Charles Mix, and Hutchinson Counties, permitted in late 2018. *Prevailing Wind Park* is unique in having both annual *and* daily limits imposed.

[15] Appellants continue to search for that "determined court case." An Agency regulation limiting "Effects" on Non-Participants would provide clear guidance. Presently, Kearney explained, the Agency looks "to the record that's presented in each docket" – "[i]t's a case-by-case basis." TR-H 569:19-20, 24-25. The German standard is neither consistently nor fully applied. Using just part of this foreign test on an *ad hoc* basis here seems rather thin, with a permanent right conferred for Effects upon the homes of Non-Participants.

[16] See note 9, *supra*, for Hessler's view this Project is "aggressively devised."

to be Hessler's "ideal design goal." Kearney recommended – and the PUC adopted - 45 dBA as the Agency's so-called regulatory limit. R014251, Permit Condition 26. This limit is supported neither by statute nor regulation. Witness Hessler's "ideal design goal" (40 dBA), along with his observation *this* Project is "aggressively devised" (thus necessitating Kearney's recommendation of 45 dBA for Non-Participants, including Appellants), are never mentioned by the Agency. The fallacy of a case-by-case approach, to fix duration and intensity of Effects for the homes of Non-Participants for *this particular case*, seems obvious.[17] The Agency's determinations may be flexible to accommodate aggressive Project designs, but run counter to the "ideal design goals" for those forced to live permanently[18] within the shadows and din. The PUC's statutory role would greatly benefit from regulations limiting Effects that Non-Participants must experience, as well as declaring *the* proper place for measuring those Effects.

STANDARD OF REVIEW

This appeal is governed by SDCL 1-26-36. The Agency's factual findings are reviewed under the clearly erroneous standard, and questions of law and statutory interpretation are reviewed de novo. *Midwest Railcar Repair, Inc. v. South Dakota Department of Revenue*, 2015 S.D. 92, 872 N.W.2d 79. The court may reverse if appellant's substantial rights have been prejudiced because the agency's findings,

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[17] Appellants suspect the design of their auditory and other senses, as residents of Deuel County, is not materially different than those living in close proximity to *Prevailing Winds Park* in Bon Homme County. Applicant's wind farm design trumps all at Agency.

[18] The Kranz Easement, if executed and the option exercised, would endure for 50 years (R013273). Applicant expects the Project's life to extend for 25 years (R014234), but if repowered, the Project might extend "for many more years." R004511. The Permit itself has no explicit term. As such, the "Effects" from this Project are *permanent* in nature.

inferences, conclusions or decision are, *inter alia*, in violation of constitutional or statutory provisions, in excess of the statutory authority of the agency, made upon unlawful procedure or affected by other error of law, clearly erroneous, or characterized by an abuse of discretion. Appellants submit this *is* a case in which their substantial rights have been prejudiced – their rights as property owners being fully ignored by the PUC - and the Agency's resulting decision is thus legally defective.

ARGUMENT

Issue 1-A: Whether the Agency charged with ensuring "minimal adverse effects" are received by neighbors has discretion to impose, on an ad hoc basis, variable limits for intensity and duration of the Effects (noise and shadow flicker)?

Permits are required as the legislature ensures the "location, construction, and operation of facilities will produce minimal adverse effects . . . upon the citizens of this state." SDCL 49-41B-1. The Agency is directed to adopt rules to implement the chapter. SDCL 49-41B-35. No Agency rules plumb the meaning of "minimal adverse effects."[19] The trial court, Mem. Op. 15, adopts the arguments of Staff and Applicant to the effect the Agency has the discretion, but not the legal obligation, to adopt rules, concluding also that the PUC must defer to whatever "Effects" standard is in place under the zoning ordinance in each county. As such, the Agency's action in one case (the establishment of

[19] If PUC wishes suggestions for rules, consider these: (1) prohibit the non-consensual embrace of property within the Project's boundary (as implicated here); (2) prohibit the casting of "Effects" onto homes and lands not consensually accepted by easement (likewise at issue). Otherwise, with knowledge of Agency's prior decisions, to quote expert Hessler, those with "aggressively devised" Projects may probe the depths of the ephemeral "regulatory limits" as to Non-Participants. One can assume Applicant favors this approach, with Effects allowed to invade Non-Participants – up to and into their homes - without need of an Effects Easement, so long as the "annual limit" of 30 hours for Shadow Flicker (merely one part of the German standard) is not exceeded.

more stringent Permit Conditions for a wind farm in Bon Homme County, for example) causes no offense or harm to the Appellants residing in Deuel County.

Allowing this Agency to establish variable standards – one set of "Effects" for a wind farm in Bon Homme County and another for this Project in Deuel County – leads to the Hessler opinion: this Project is "aggressively devised." *See* Ex. S2, R012746, TR-H 497:24-498:25.[20] Under the straightjacket imposed upon the Agency, as to elements of time to issue the Permit and the design presented,[21] some rule making activity as to what comprises "minimal adverse effects" would maintain the onus for devising a proper design on each applicant. Thus, the Agency's failure to adopt substantive rules enhances the risk of failing to comply with the letter and the spirit of the legislative findings. Applicant is likely to simply *take* as much as possible of whatever it does not own,[22] so long as the Agency's regulatory limits *de jour* (porous, existing neither in statute nor regulation) are not penetrated.

As noted in *Matter of Sales and Use Tax Refund Request of Media One, Inc.*, 1997 S.D. 17, 559 N.W.2d 875, at ¶ 11, and in SDCL 1-26-1(8), a "rule" is an agency statement of *general applicability* to implement, interpret, or prescribe law, policy, procedure or practice requirements of an agency. Whether an agency has correctly

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[20] This expert's apt description conflicts with legislative findings that citizens never receive more than "minimal adverse effects." This opinion of Staff's own expert is never repeated or quoted, other than by Appellants.

[21] SDCL 49-41B-25 (9 months) and SDCL 49-41B-36 (no jurisdiction to mandate location).

[22] The land and homes of Non-Participants, for example. Ex. I-3, R013293, at 013294, summarizes the "Effects" anticipated from this Project.

applied its own rules presents a question of law, and as such, no deference is accorded to the conclusions reached by the agency or the circuit court below. *Id*.

For now, there are *no* substantive rules addressing the legislative policy a facility is to cause merely "minimal adverse effects." As the Agency attempts to keep this standard in mind, while relying on the *ad hoc* opinions of Staff's own experts – along with the testimony of whatever experts Applicant has presented[23] - it may seem logical that the citizens residing near a Project in Bon Homme County can be assured of a lesser intensity and duration of "Effects" (with both an annual and daily limit being applied for shadow flicker), even while those residing near this Project, in Deuel County, must accept greater measures. Such distinctions are warranted, the Agency concludes, given the Project's conservative design (in Bon Homme County, not Deuel). Agency's proceedings for large-scale wind are like the tail wagging the dog. If an Applicant's design is "aggressive," Staff recommends a duration or an intensity of Effects beyond the "ideal" (as Hessler puts it). Just how did this fractional part of a German "safety" rule become the honored, *ad hoc* polestar for this Agency, such that South Dakota Non-Participants must likewise accept it also? Property rights and health issues are conflated.

Thus, no rules of general applicability are applied here (such as those suggested by Appellants - see note 19, *supra*). Rather than applying a permanent rule, the Agency's short history in permitting large wind farms is marked by an iteration of "Permit Conditions," largely recycled from one Project to another, case-by-case. The exception is made *if* the design submitted to the Agency just happens to be sufficiently prudent or

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[23] None of the experts directly address the concept of "minimal adverse effects."

conservative to allow stricter constraints on the Applicant's emissions of Effects.[24] But this can't be whenever a Project is "aggressively devised" (in the words of Hessler, the expert willing to ignore, *for this case*, his own pronounced ideal model).[25]

This isn't the first time this Agency, in pursuit of public safety, was selected to accomplish "uniformity of regulation" (even if the concepts employed by the several counties in their zoning ordinances have their differences).[26] See *Northwestern Bell Telephone v. Chicago & North Western Transp. Co.*, 245 N.W.2d 639, 642 (S.D. 1976). Employing one standard of "effects" for those in Bon Homme County, living in the shadows of a wind farm there, while applying quite another standard for those in Deuel County (Appellants), is unjust, an abuse of process flowing from the policy of SDCL 49-41B-1.

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[24] In *Application of Prevailing Wind Park LLC*, EL18-026, the Agency employed both an annual *and* a daily standard for shadow flicker; *that* annual standard is exactly 50% of that used here. R011810. Since neither Staff nor Applicant suggest a daily limit, one wonders how the Agency there came to know of this part of the German rule. This also suggests the key factor for these cases is not that of "minimal adverse effects," but whether the Project is conservatively designed to allow for such benefits upon being shoehorned into the neighborhood. The Project here (obviously) does *not* have such a conservative design, according to Hessler.

[25] Hessler further observed, TR-H 507:4-12 - "It's how many turbines are around a particular house or a point of interest. . . . [T]he density of turbines is such that there's lots of nonparticipating houses with predicted levels above 40 [dbA]. At my last count I think it was approaching 100 [homes]. It was a lot. . . . And I would like to see a lot lower number there." Hessler's stated concerns remain unaddressed by the Agency, ostensibly in pursuit of the legislature's findings.

[26] Trial court concluded, at Mem. Op. 15, the PUC must "[defer] to local county ordinances." This conclusion seems to rest on SDCL 49-41B-22, as amended in 2019. County's CUP authorizes "Effects" of specific duration or intensity, but does *not* obviate Agency's duty to govern "Effects." Further, use of the Zoning Power for *this* purpose by the several counties is likewise a taking of property interests, at issue in Appeal # 29352, submitted on briefs November 15, 2020.

Issue 1-B: Whether the Agency's practice of a case-by-case approach to regulation, while failing to adopt a statewide standard for adverse effects emitted by a Project onto the public, violates Appellants' rights otherwise assured by state and federal constitutions?

Because of the PUC's *ad hoc* approach in the permitting of large wind projects, persons who are Non-Participants are treated differently. The legislature's findings in SDCL 49-41B-1 pertain statewide, rather than merely a particular area or territory of South Dakota. *State v. Smith*, 88 S.D. 76, 80, 216 N.W.2d 149, 151 (1974). Yet, varying intensities and durations of "Effects" are approved and applied by the Agency, case-by-case, neighbors in Bon Homme County being afforded greater favor than those in Deuel County. Nothing suggests the physical characteristics or capacities of the residents of Deuel are better designed by their Maker to handle higher intensities or durations of Effects, or that their inherent property rights are less worthy of protection. The standards regularly deployed by the PUC since 2017 (with one exception) have not been adopted as safe or suitable limits in any formal sense, whether from the standpoint of human health and safety or as burdens to be imposed on the property interests of those humans, now appearing here as Appellants.

City of Aberdeen v. Meidinger, 29 S.D. 412, 233 N.W.2d 331 (1975) involved criminal prosecution of a defendant charged with operating a junkyard without a permit. After being sentenced on a conviction in municipal court, defendant appealed, claiming that the statutes under which he was charged violated Article VI, s 18 of the South Dakota Constitution and the Equal Protection clause of the Fourteenth Amendment, U.S. Constitution. After reviewing potential different outcomes for violating municipal ordinances in Sioux Falls, Rapid City, Aberdeen, Mitchell, Clark and Garretson, this Court concluded the statutes were based on an "arbitrary classification resulting in

unequal punishment for like offenses where one city qualifies population wise for a municipal court . . . and another in the same locality does not." *Id.*, at 416, 333. This inequality, the Court concluded, was "completely arbitrary and capricious." *Id.*

The arbitrary and capricious nature of the "rules" enforced by the PUC is even more stark. It depends on just how conservative – or perhaps how "aggressively devised" (in the opinion of Hessler) – the Project happens to be. The PUC – proving to be ever flexible in carrying out the legislature's policy – is willing to quantify and sculpt the Effects, for sanctioning as a Permit Condition, to fit the particular circumstances of the Project's design. In such circumstances, *Applicant* is in charge, having fostered the design, while the PUC is merely on stage, playing an assigned role and overseeing small details of the Effects. In such manner, PUC readily tightens the permissible emission of Effects (as was done in *Application of Prevailing Wind Park*), yet without ever infringing upon the design of that Project. But, if design requires a more liberal approach (as Hessler famously observed), then *more* Effects are permitted, becoming an *added burden* upon the property rights and interests of Non-Participants.

As applied by the Agency, the *ad hoc* classifications purportedly devised to protect the property (and health) interests of Non-Participants are entirely arbitrary, lacking a rational basis, as observed in the concurring opinion of Justice Sabers in *Lyons v. Lederle Laboratories*, 440 N.W.2d 769, 773 (S.D. 1989). If a more conservative design were presented (or, one not so "aggressively devised" in Hessler's view), this Project could be made subject to the very same two-fold criteria applied in the *Prevailing Wind Park* matter. The regulations suggested (*see* note 21, above) would end the pseudo role-

playing by both Applicant and Agency, thus benefiting the "citizens of this state."[27]

Issue 2-A: Whether the Applicant, holding Effects Easements from Participants, is entitled or privileged by law, or the Agency's Permit, to cast or emit the "effects" (both noise and shadow flicker) on nearby Non-Participants, without benefit of similar easements?

Applicant has obtained wind leases from Participants for purposes of siting the Project's turbines. The leases include "Effects Easements," accepting both Noise and Shadow Flicker from turbines on the Participant's own land, or "attributable to the Wind Farm . . . on adjacent properties over and across the Owner's Property." R011898.[28] Neither Applicant nor Agency's Staff expressed views on the record as to whether similar Effects Easements are appropriate (or perhaps even required) for the lands and homes of Non-Participants. With the exception of one "Participation Agreement" disclosed after the Agency's hearing[29], Applicant has in place no Effects Easements with Appellants or other Non-Participants.

While Participants have granted Applicant a substantial amount of control over their property, thus inviting the Agency's ruling on the level of the Effects that may be cast upon them by the Project, Non-Participants uttered no such instruments in favor of Applicant, conceded no such role to the PUC. If an "Effects Easement" is warranted for the lands of Participants, then when Applicant seeks the same legal footing and the right

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[27] As referenced in SDCL 49-41B-1.

[28] Matching the language of the Kranz Easement, Section 5.2, in Appendix C.

[29] Marked as Ex. I-8 (R013802). Why this landowner, with a small parcel that does not also include a wind turbine, afforded Applicant a form of "Effects Easement" is not clear. Appellants assume that owner may receive "Effects" beyond the specific intensity or duration level otherwise approved by the Agency. When or by what means have those levels of Effects become *the* fulcrum point in South Dakota, such that when exceeded, an easement is required - otherwise the Effects may be freely cast without recourse?

to afflict with Effects as a servitude upon the lands and homes of Non-Participants, it must likewise hold an Effects Easement.[30] Thus, without benefit of an interest created under the provisions of SDCL Chapter 43-13, any claim of *lawfully burdening* the homes and lands of Appellants (and of all other Non-Participants) hangs entirely upon the Permit issued by the PUC.

The doctrine of judicial estoppel has been outlined in many cases, including *Stabler v. First State Bank of Roscoe*, 2015 S.D. 44, ¶ 18, 865 N.W.2d 466 (2015). In essence, if an earlier position is judicially accepted, the party later claiming an inconsistent legal position may be estopped, in order to avoid inconsistent legal determinations. Applicant's use of an "Effects Easement" with Participants – *and those landowners only* – is inconsistent with the position that, *for all others*, the Agency's Permit fully suffices in casting Effects within the Permit Conditions.[31] This view, again, conflates the legislature's focus on *health* (as the Agency resorts to some part of a German standard) with rights conferred by instrument upon a servient estate.

Aside from the statutory assignment under SDCL 49-41B-1[32], and the elements for Applicant's burden of proof listed in SDCL 49-41B-22, the PUC has *no* authority to determine, grant, award or compel easements. That much is clear, but without retreating from the position the PUC Permit under SDCL Chapter 49-41B, does have the *effect* of ostensibly authorizing burdens or servitudes on adjoining lands and homes, albeit without

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[30] Neither the PUC nor the trial court accepted this logical conclusion.

[31] The PUC's own actions in *Prevailing Wind Park* – imposing a daily time limit for Shadow Flicker, being part of the German standard – is compelling also on the issue of judicial estoppel. No evidence was adduced here as to daily time limits.

[32] That task is to ensure "minimal adverse effects" are "upon the citizens of this state."

the formal hallmarks of an easement.[33]

That burden is particularly evident as to these Appellants and their homes.[34] The homes are from 2,000-2,749 feet from the nearest turbine, must endure between 3:04 and 15:04 hours of Shadow Flicker annually, while Noise is predicted from 42.0 to 43.6 dBA. While Shadow Flicker for each home is less than 30 hours annually, no one knows (on this record) whether the German standard's daily limit of 30 minutes is also offended by Applicant's predictions, or if the additional 8-hour per year limit (as referenced in Ex. A12-15, at R005988) is also transcended. Notably, two of the four homes exceed 8 hours annually.

If merely one portion of the German safety standard is to be enforced in South Dakota, that should entail an appropriate rule-making proceeding. Appellants also can't help but notice that both Staff and Applicant are avid promoters of that *part* of the German rule selected by the PUC (30 hours per year for Shadow Flicker). No evidence was adduced on unapplied aspects of the German "safety" rule, even as the PUC's own expert (Hessler) was pushed beyond *his* ideal design goal (40 dBA) to some illusory "regulatory limit" of 45 dBA.

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[33] In pleadings before the PUC, Appellants have referenced the Agency's action as the taking of a *de facto* easement. Appellants also persistently criticized the PUC's actions that erase Non-Participant's property lines and, without benefit of Agency rule making, encourage deployment of some fractional part of the so-called German "safety" standard, which reads or tallies the Effects at the occupied dwellings of Non-Participants.

[34] Ex. I-3, R013293, at 013294, includes a summary of Applicant's predicted Effects.

These Effects, cumulatively, burden the lands of those living nearby.[35] When given by the owner of lands, an "Effects Easement" is certainly in order. The PUC's Permit is a rather poor (and wholly inadequate) substitute where such an easement was neither sought by Applicant nor given by Non-Participants.

Issue 2-B: Whether Applicant's casting of Shadow Flicker on Non-Participants, having granted no Effects Easement to Applicant, conflicts with the rights and privileges of landowners under SDCL 43-13-2(8)?

From the outset of Appellants' intervention in August 2019 (R001197), the Agency's unilateral imposition of servitudes on the lands and homes of Non-Participants has been challenged, citing SDCL 43-13-4 and 43-13-2, including the latter's subsection (8): "[t]he right of receiving air, light or heat from or over, or discharging the same upon or over land."[36] The pulsating or flickering effect, when the turbines are turning, is a "discharging [of light]" – *in objectionable form* – over Non-Participants.

Neither Appellee responded to this assertion until the time of argument before the circuit court, when Applicant's counsel countered with these comments:

> With regard to the Ehlebracht appellant's arguments, Mr. Swanson can't even make his argument without a dramatic mischaracterization of shadow flicker as a discharge. As he explains in great detail in his initial brief, the

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[35] Shadow Flicker does not extend to infinity. According to Applicant's expert Haley, the Effect is "indistinguishable" beyond 1,700 meters (about 5,577 feet). The homes of Appellants are in the range of 2000-2800 feet (about 850 meters, at most). Haley testified the "flickering effect is most noticeable within approximately 1,000 meters of the turbine." Ex. A14-2, at R011270. The rule suggested in note 19 would prevent this. In the absence of any such rule, this appeal seeks to establish whether Applicant's right to cast Effects and burden property can be conferred under the terms of the Agency's Permit.

[36] This statute, copied by the territorial legislature in 1877 from California's Civil Code of 1872 (presently § 801), was discussed in Appellants' opening brief to the circuit court, at 18-27. CR 1399. This Court does not seem to have addressed the issue, but the list of easements in California's statute is not an exclusive list. *Blackmore v. Powell*, 150 Cal.App 4th 1593, 59 Cal.Rptr. 3d 527, 534 (2007); *Wright v. Best*, 19 Cal.2d 368, 381, 121 P.2d 702 (1942).

> source of the light is the sun. The shadow flicker just means the blade passes between the sun and the receptor. There's no capturing reflection, discharge, light source, or anything of that nature from these wind turbines and his argument relies on there being some kind of discharge of light originating from the turbines. That doesn't happen. TR-C 25:7-16.

Counsel concluded with the claim that "[e]asements and property rights are not within the purview of the PUC in this process and are not an appropriate subject matter for this appeal." TR-C 26:17-19.

While it is agreed the PUC has no actual authority to issue easements, *or to adversely affect property rights*, the question fairly remains: does the Permit nevertheless constitute a *de facto* easement upon and over the homes and lands of Non-Participants? Further, while the original source of the light being discharged *is* the sun, the actual source of the resulting, adulterated light is *actually* the wind turbine. Applicant's own Section 5.2 (*see* Appendix C), depicting the Effects Easement, lays down this string of words: "light, flicker, noise, shadow."

Stated differently, a light source, shining through spinning turbines, will yield Shadow Flicker. The wind turbine is the discharge point. The record holds hundreds if not thousands of pages of professional literature claiming this essential point: *Shadow Flicker and Noise each may be an annoyance, as is the case elsewhere, but they will not kill you*. That point relates entirely to the *health* of humans. Whether these Effects are a burden on *property* was never resolved by either the Agency or the trial court.

The old statute (SDCL 43-13-2(8)) does not seem to have been cited in *any* decision of this Court, much less one focused on wind turbine permitting or whether Shadow Flicker comprises a servitude, a burden to be created only by the vested owner of the estate rather than at the direction of some state agency. Applicant's own experts

clearly state that Shadow Flicker becomes "indistinguishable"[37] if the turbine is about one mile or so from the Non-Participating property. Rather than either observe that separation distance or negotiate an easement from Non-Participants, Applicant has acted to burden the lands and homes of Non-Participants, trusting the PUC's Permit will suffice to close the legal gap.

Do the Effects comprise a burden or servitude? In extracting wind leases from Participants, Applicant *itself* selected a mechanism for protection should the burden of Effects eventually outweigh the benefit of mere monetary consideration paid to present or future owners of leased turbine sites. That Non-Participants would regard these Effects as a burden on *their* nearby lands and homes should not be surprising. What is surprising is that the PUC, willing to accommodate even an "aggressively devised" Project (as opined by Staff's expert Hessler), shifts the burden of Effects onto the homes of Non-Participants, while yet professing *ad hoc* allegiance to some favored part of the purported German safety standard for Shadow Flicker and the imaginary case-by-case line (otherwise known as a "regulatory limit") for the burden of Noise. Ironically, what the Agency concedes it has no jurisdiction to grant (Effects Easement), it has, in fact, given.

Issue 3-A: Whether the Agency decision, expressly approving the intensity and duration for the casting or emission of "Effects" (noise and shadow flicker) upon Non-Participants (including Appellants) represents a *per se* taking of interests (an easement) in the lands and property interests of Non-Participants?

Convinced that no one will be maimed or killed by the Effects, the Agency's Permit effectively licenses Applicant for permanently casting those Effects - in some predicted level of intensity or duration – onto the homes and lands of Non-Participants.

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[37] See testimony of Haley, as referenced in note 35, *supra*.

Applicant didn't supply an applicable easement for such neighbors, and the Agency also never considered whether the sought Permit is effectively a taking of property interests.

The trial court cites *Benson v. State*, 2006 S.D. 8, 710 N.W.2d 131, 149 to support the conclusion that the Permit is not a taking of property rights, citing also *Boever v. South Dakota Board of Accountancy*, 526 N.W.2d 747 (S.D. 1995), for the proposition that, as argued by Staff, any claim of *per se* nuisance is unripe.[38] Applicant's own evidence is extensive in predicting the Effects now coming upon Appellants' homes.

In *Benson*, at ¶ 60, this Court cites *Harms v. City of Sibley*, 702 N.W.2d 91 (Iowa 2005). *Harms* is a city zoning case, where the adjoining property owners claimed the city's rezoning approval for a cement plant (with resulting noise, dust, traffic problems, and lights) caused the harm to the nearby home, seeking damages for inverse condemnation as if the City had appropriated an interest in property. While deciding the city did not "[work] a taking of private property within the meaning of the Fifth Amendment," *Harms* remains instructive as to the "consequential damages rule," or the "natural, probable consequence test," as referenced in *Benson*, ¶ 60. The Iowa Supreme Court reviewed a range of federal cases,[39] distinguishing between burdens placed on

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[38] Appellants did not argue that this or any wind farm comprised a nuisance *per se*. With the Permit in hand, the point of Issue 3-B, *infra*, is that relief is even more unlikely because of SDCL 21-10-2 and cases determined by this Court. The PUC's taking of Non-Participant's property interests, as to such Effects, seems to be complete.

[39] Including *Lingle v. Chevron U.S.A. Inc.*, 544 US 528 (2005), *Griggs v. County of Allegheny*, 369 U.S. 84 (1962), and *United States v. Causby*, 328 U.S. 256 (1946). *Lingle*, reverses the holding of *Agins v. City of Tiburon*, 447 U.S. 255, 260 (1980), to the effect that a zoning ordinance "effects a taking if [such regulation] does not substantially advance legitimate state interests . . . ." The state *has* legitimate interests as expressed in SDCL 49-41B-1, including the health of citizens; Appellants, however, submit that ensuring Non-Participants (such as Mrs. Kranz) will be nonetheless subjected to wind farm "Effects" by means of a PUC Permit is *not* among those expressed interests. *Lingle*, at 548, clarifies the grounds for challenging government regulations as a taking.

private landowners because of the government taking an easement over the land, versus government action on the government's own property, resulting in a burden. The consequential damages rule generally precludes the finding of a taking in the former case, but not the latter. *Harms*, 702 N.W.2d at 101. The court then further noted:

> The Harms do not challenge the district court's finding that the rezoning ordinance was valid. Joe's Ready Mix and Sandbulte, as the county in *Griggs*, were the promoter and owner of the ready mix plant and decided, subject to the ordinance, where the plant was to be built and how it would be operated. The City in enacting the rezoning ordinance has taken no action in determining these matters. Unlike *Causby* and *Portsmouth Harbor*, it was not the operation and maintenance of government property that produced the nuisance which caused the Harms' injury and damages. Under these circumstances, the City's action in rezoning the property did not result in a taking of an easement created by the nuisance as the Harms contend. Rather it was the action of Joe's Ready Mix and Sanbulte that produced the nuisance and they – rather than the City – should pay for the easement. *Id.* The conclusion in *Harms* must be contrasted with what is clearly presented here:

the PUC has expressly licensed the casting of Effects (as minutely and exhaustively predicted by computer modeling) upon all homes and properties within the Project area, both Participants and Non-Participants, according to some *ad hoc* regulatory limit. In the case of Participants – whether entailing bare land or occupied dwellings (or both) – they are compensated to accept this burden, having conferred an Effects Easement. In the latter case, the issued Permit, *standing alone*, is Applicant's sole source of right and privilege with regard to the occupied dwellings of Non-Participants – no concern whatsoever being shown for licensing the dumping of either Noise or Shadow Flicker also upon the bare land of Non-Participants, and in all cases, permanently, and

without compensation.[40]

While finding the rezoning action of city did not comprise a taking, *Harms* took note of its prior decision in *Bormann v. Board of Supervisors*, 584 N.W.2d 309 (Iowa 1998). In *Bormann*, the Iowa court had held the nuisance immunity created an easement in property affected by a nuisance in favor of land belonging to those seeking the agricultural designation; easements are property interests subject to the just compensation requirements of the Federal Takings Clause. *Id.*, at 316. The "right-to-farm" (RTF) statute was held unconstitutional in *Bormann* because of authorizing the use of property in ways that infringed on the rights of others, by "allowing the creation of a nuisance-easement without the payment of just compensation." *Harms*, at 101-2.[41]

Appellants recognize this is not yet an inverse condemnation case. Presently, this is an administrative appeal, moving to this Court from the circuit court; Appellants intend to present a challenge to the jurisdictional power of the PUC to actually license what the Permit purports to confer upon Applicant, *as a matter of right*, over the lands and homes of Non-Participants.[42] As argued in Issue 3-B, *infra*, that very license, furthermore, becomes also a means of insulating Applicant's operations from further challenge as a nuisance.

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[40] That Applicant's permanent use of open land for such purposes reduces or eliminates the owner's right to develop other homes or uses now permitted by the zoning ordinance is mentioned only in passing – this, too, is an infringement of property rights.

[41] The doctrine of *Bormann* pertains to Issue 3-B, *infra*.

[42] That said, if the Permit endures as a veritable, permanent Effects Easement, the taking of Appellants' property rights may be further considered in a suitable forum under the ruling of *Knick v. Township of Scott*, 588 U.S. (2019).

Issue 3-B: Whether the Agency decision, expressly approving certain levels or durations of the Project's adverse effects upon the homes and lands of Non-Participants (including Appellants) vitiates the nuisance laws as a potential remedy available to Non-Participants, thus representing a taking of property rights otherwise secured by law?

The history of other large-scale wind energy facility permits issued by the Agency confirms that these endeavors are fairly recent, beginning in 2017. R011799, 011808, Ex. S1, Staff Witness Kearney.[43] For their part, Appellants are less than enthused about being *permanently* consigned to now live and own property in or near the boundary of an industrial-scale electrical energy generation facility. Appellants are concerned the Agency's Permit serves as a *de facto* easement for the permanent casting of the Effects upon their homes and lands. So long as Applicant remains within whatever dose of Effects has been prescribed for Appellants by terms of the Permit Conditions, Appellants are further concerned this uncompensated taking is further harmful to their property interests by serving also as an effective roadblock to a nuisance action.

Legal literature suggests that wind energy development has always felt vulnerable to attack on the basis of nuisance law. In West Virginia, a wind farm project with the name of NedPower Mount Storm, obtained a certificate from the State's Public Service Commission, and proceeded with construction of 200 turbines. Several neighbors – living between a half-mile and two miles from the proposed site – brought legal action to enjoin the work based on nuisance, citing noise, and "flicker" or "strobe" effect, among other concerns. Following the trial court's dismissal on the pleadings, the case reached the West Virginia Supreme Court, which reversed and remainded the case for trial. *Burch v. NedPower Mount Storm*, LLC, 647 S.E.2d 879 (W.Va. 2007).

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[43] PUC docket number reflects the year – thus, *Crocker Wind Farm* application, EL17-055; *Prevailing Wind Park*, EL18-026, transpired in 2018.

That remand gave rise to a number of law review articles arguing the developing wind industry needed protection from nuisance and other suits. In "Headwinds to a Clean Energy Future: Nuisance Suits Against Wind Energy Projects in the United States,"[44] the author provided several suggestions, including adopting the view that a state siting permit for a wind farm should be preclusive and final. The article asserts also that wind development would be economically beneficial, outweighing any harm it caused.[45]

Although the PUC did not start hearing large wind farm cases until 2017 (as outlined in Ex. S1, R011806), the legislature made the assignment to this Agency many years before. The PUC's expert witness, David Hessler, is a well known "noise expert." In the words of Staff's witness Kearney (Ex.S1, at 9, R011808), Hessler "consistently maintain[s] that wind projects should work to achieve an ideal design goal of 40 dBA if possible." Kearny continues: "At the same time, Mr. Hessler acknowledges that in most circumstances it is difficult for wind projects to meet the ideal design goal and for regulatory purposes a permit limit of 45 dBA for non-participants is reasonable." Ex. S2, R012746; TR-H-497:24-498:25.[46]

The Agency's decision reflects the adoption of "permit standards" that, as to

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[44] Stephen Harland Butler, 97 Calif. L. Rev. 1337 (October 2009). *See also*, Joseph Haupt, "A Right to Wind? Promoting Wind Energy by Limiting the Possibility of Nuisance Litigation," Journal of Energy & Environ. Law, 256, Summer 2012. Haupt, at 256, suggests using the Right-to-Farm acts as a model to pave the way for wind farm development, thus placing *Bormann* in context; see 30, *infra*.

[45] By the time of this article (2009), *Lingle* had overturned *Agins*, as cited in note 43 – otherwise, the author surely would have cited the 1980 case, with the "legitimate state interests" test as an exception to "takings."

[46] Non-Participants, such as Appellants, often enclosed by the Project's boundary line, volitionally accepted *none* of the Project's Effects burdens, now imposed without consent by force and effect of the Permit.

noise, do not meet Hessler's ideal design goal, while yet being below the "regulatory limit," in Kearney's words.[47] Meanwhile, notwithstanding opinions as to what might be "reasonable" for Non-Participants, the record before the Agency is replete with Applicant-provided articles and journals. These writings are to the effect that, while Non-Participants are relegated to living on the edge of a wind farm (an environment not necessarily pleasant for everyone because of the potential for sleep disruption and various health complaints), the writers seem unanimous in the view that no serious health risk exists, nor is anyone likely to be killed.[48] The striking conclusion of nearly all of the studies adduced by Applicant is this: *more studies are required* to plumb the depths of the relationship between wind farm proximity, the "Effects," and the reported sleep disturbances and other health concerns.

For now, the expert opinions are given, mixed together with Staff recommendations and computer-generated modeling performed by other experts at the behest of Applicant to create the Permit Conditions. As of this writing, Applicant's Project is *fully built* – and *fully permitted* by the Agency (as envisioned by SDCL 49-41B-2), with Permit Conditions *written and imposed* as a result of the computer modeling, opinions and projections. What Hessler opined as being "reasonable" (noise is

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[47] This so-called "regulatory limit" is found neither in statutes nor regulations, but arise – *this time, at least* – from the *ad hoc* expert opinions (Hessler and others), along with the recommendations of Kearney to the Commissioners.

[48] Appendix C, *infra*, lists fifteen (15) studies or articles in the Agency's record, regarding noise (sound) or shadow flicker and claims of annoyance or health effects. The list reflects the "effects" of the Effects is not settled science. Under SDCL 49-41B-22(3), Applicant has the burden of proof that "[t]he facility will not substantially impair the health, safety or welfare of the inhabitants." This suggests *some* impairment in the health of inhabitants *is* an acceptable price to pay, under the State's scheme. This appeal concerns Agency's award to Applicant of a free use of Appellants' property rights, in accord with PUC's *ad hoc* "regulatory limits."

still an intrusion on neighbors, even if below the *ad hoc* "regulatory limits" proclaimed from the witness stand by Kearney) could yet prove to be, in actual experience, a living nightmare for Appellants and other Non-Participants. What then? What remedy remains for Appellants as neighbors locked within the Project boundary?

Appellants fear that the computer modeling, studies, and prognostications have become the Agency's Permit Conditions and are now immutable. Further, these are imposed on Applicant's wind farm "under the express authority of a statute" (as referenced in SDCL 21-10-2) marking the permissible limits of invasive uses. As such, "Effects" emitted from this Project in full conformity with the applicable Permit Conditions (if conforming also to the Agency's *ad hoc* regulatory limits – that is to say, the limits for this particular Project and these Non-Participants) are then protected from further question or challenge as a public or private nuisance, without regard to the *actual* consequences on the lives and well-being of Appellants.[49]

The point made by statute ("express authority of a statute," SDCL 21-10-2) is discussed in several decisions of this Court. In *Kuper v. Lincoln-Union Elec. Co*., 1996 S.D. 145, 557 N.W.2d 748, the majority opinion, at ¶ 46, concludes that based on the statute, no action based on nuisance could lie against a public utility. *Kuper,* at ¶ 47, cites *Armory Park v. Episcopal Community Services*, 148 Ariz. 1, 712 P.2d 914, 921 (1985): "We would hesitate to find a public nuisance, if, for example, the legislature enacted comprehensive and specific laws concerning the manner in which a particular activity

[49] As noted in Appendix D, *infra*, many of the papers presented by witness Ollson suggest further studies are warranted.

was to be carried out." The South Dakota permitting process is an example of comprehensive, specific direction.

In *Krsnak v. Brandt Lake Sanitary District*, 2018 S.D. 85, 921 N.W.2d 698, the doctrine of *Kuper* was followed, as "[s]anitary districts are specifically authorized by statute." Plaintiffs "must present evidence that the District engaged in some act or omission that violated its statutory authority." *Id.*, ¶ 32.

Likewise, the PUC's *ad hoc* regulatory limits for the Effects[50] – applicable to this specific wind farm – have become *the* statutory authority of the intensity and duration of those Effects, *permanently*, while the literature adduced by Applicant often observes that *more study* of the potential adverse consequences to humans is warranted. The resulting regulatory limits become the officially licensed, permitted, and approved quotas of Effects upon all Non-Participants.[51]

The linkage between the legislature's findings under SDCL 49-41B-1 and the ancient language of SDCL 21-10-2 is clear.[52] Together, a one-two punch is delivered to the vested property rights of Non-Participants. First, an invasion by noise and shadow

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[50] Given the opinions of Hessler – this wind farm being "aggressively devised" – the *ad hoc* regulatory limits fashioned here are beyond what the expert considers "ideal." Is this what the legislature intended with a standard of "minimal adverse effects"? A distinction must be made for the Effects and consequences for human health (including that of "Participants"), versus burdens or servitudes placed on property interests owned by such persons. The PUC may have jurisdiction to conduct the former inquiry but the latter is yet challenged by Appellants.

[51] In *Joffer v. Cargill Inc*., 2010 WL 1409444, given the statute, *Kuper*, and *Hedel-Ostrowski v. City of Spearfish*, 679 N.W.2d 491 (S.D. 2004), Magistrate Simko concluded likewise as to grain warehouses, in the face of claims the site emitted dust and mold to the detriment of the neighbor's health.

[52] Ironically, SDCL 21-10-2 was borrowed from California in the very same year – 1877 – as SDCL 43-13-2(8). The language of each remains unchanged today, and, Appellants now urge, directly bear on the merits of this case.

flicker is officially licensed in terms of intensity and duration, and then - because of that very license - the neighboring landowner, including each Appellant, is now stripped of legal remedies to challenge the very source of that invasion.

In *Bormann v. Board of Sup'rs In and For Kossuth County*, 584 N.W.2d 309 (1998), the Iowa Supreme Court reviewed that jurisdiction's "right-to-farm" act, affording immunity for nuisance claims against intensive agricultural practices. In the process of determining that section to be unconstitutional,[53] the court concluded this was not a close case:

> When all the varnish is removed, the challenged statutory scheme amounts to a commandeering of valuable property rights without compensating the owners, and sacrificing those rights for the economic advantage of a few. In short, it appropriates valuable private property interests and awards them to strangers. *Id.*, at 322. As a small group of Non-Participants huddled near and behind the Project

boundary line (drawn by Applicant and approved by Agency), the result in *Bormann* is compelling – and disturbing.[54] Here, the State, through the PUC and at the behest of the legislature, on the one hand, has officially licensed the duration and intensity of the Effects each Non-Participant must henceforth endure upon their homes and lands[55] – *permanently*. Then, on the other, the State holds that the prescribed dose of Effects enumerated within the License cannot be challenged by means of the nuisance

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[53] Under the Fifth Amendment, U.S. Constitution, and also under article I, section 18, Iowa Constitution, the court noting, at 319-20 "Thus, the state cannot regulate property so as to insulate users from potential private nuisance claims without providing just compensation to persons injured by the nuisance."

[54] In *Stop the Beach Renourishment, Inc. v. Florida Dep't. Environmental Prot., et al*, 560 U.S. 702, 715 (2010), Justice Scalia observed "[T]he Takings Clause bars the State from taking private property without paying for it, no matter which branch is the instrument of the taking."

[55] Much like a servitude, including those listed in SDCL 43-13-2.

law.[56] No other judicial remedy seems apparent as to this Project. Taken together, these legislative measures accomplish a taking of Appellants' property rights – and, whether or not presently recognized, the rights of all other Non-Participants.

Mrs. Kranz declined to enter into a wind lease with Applicant's affiliate, with the Effects Easement language of Section 5.2 (*see* Appendix B). Notwithstanding, Applicant now holds a Permit for permanent use of her farm and home in the dumping of the Effects. Applicant's Permit extends to the homes and lands of each Appellant.

Many cases can be cited to illustrate the Takings Clause doctrines of the U.S. Supreme Court – *Nollan v. California Coastal Commission*, 483 U.S. 825 (1987), *Dolan v. City of Tigard*, 512 U.S. 374 (1994), and *Penn Central Transportation Company v. City of New York*, 438 U.S. 104 (1978), being three in particular. The first two are commonly referenced as "exaction" cases, requirements imposed by governmental entities upon an owner for the privilege of applying for land development rights. For the latter, a landmark law has been applied to thwart further development of the owner's property under the zoning law. Attempts to make these cases fit the circumstances of Appellants is painful, to be sure: Appellants are *not* seeking to develop anything on their properties, they only seek to continue to make use of their current homes and lands without being forced to endure or suffer the onslaught of Effects.

To be sure, nothing will be quite the same as the wind farm moves into production. There will be wind turbines on the horizon – but this case is not some lament about formerly uncluttered views. Rather, this case is about being required, by force of

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[56] "State, by *ipse dixit* may not transform private property into public property without compensation," *Stop the Beach*, 560 U.S. at 715.

the Permit, to permanently tolerate the Effects of this wind farm operation, the nearest facet of which is sited some 2,000 to 2,700 feet distant from the homes of Appellants. Meanwhile, Applicant's own experts assured the Agency that Shadow Flicker, for example, fades to insignificance with a separation distance of about one (1) mile.[57]

Applicant counted on the PUC to follow the recent history of "regulatory limits" (as Staff witness Kearney has testified) for the objectionable Effects. In that respect, based on some part of the German "safety" standard (Ex. A12-16, R006006)[58] as Applicant itself has touted (and the Agency has embraced on an *ad hoc* basis), the infliction of Shadow Flicker for 30 hours or less per year on the home of a Non-Participant is perfectly safe and acceptable – at least, in the view of the PUC. (But even this claim of human safety has nothing to do with burdens on property rights.)

Likewise, so long as Noise does not exceed 45 dBA at the homes of Non-Participants, the PUC is content.[59] Mere annoyance or sleep disruption does not compel the Agency to find a risk of adverse health consequences. As such, Applicant has carefully observed and learned the lesson taught - there is no "need" to produce an Effects Easement from Non-Participants when invoking the PUC's jurisdiction, as the Permit alone will suffice (so long as that German standard, as parsed and applied in South Dakota, isn't transcended). These suppositions are all mistaken, as argued herein.

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[57] See note 35, *supra*.

[58] As referenced in Appendix D.

[59] The Agency ignored expert Hessler's view the Project is "aggressively devised."

CONCLUSION

The trial court correctly determined the PUC lacks jurisdiction to grant or issue easements. On the other hand, the *actual effect* of the Permit is the very thing the Agency itself eschews – *an Effects Easement*. If the State has a legitimate interest in promoting wind development, evidence of a volitional easement from property owners adversely affected by the Effects is essential. Approving the casting of Effects on the property interests of Appellants on the bare authority of a PUC Permit, asserting *this* outcome is exactly what the legislature intended to accomplish, is a pretense - another *ipse dixit* proclamation.

Respectfully submitted:

Date: May 25, 2021
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CERTIFICATE OF COMPLIANCE

In accordance with SDCL 15-26A-66(b)(4), I certify Appellant's Brief complies with the requirements set forth in South Dakota Codified Laws, being 33 pages in length. This brief was prepared using Microsoft Word 2010, Times New Roman (12 point), and contains 9,023 words and 48,175 characters, excluding table of contents, table of authorities, jurisdictional statement, statement of legal issues and authorities, and certificates of counsel. I have relied on the word and character count of the word processing program to prepare this certificate.

Date: May 25, 2021
/s/ A.J. Swanson

CERTIFICATE OF SERVICE

The undersigned hereby certifies that Appellant's Brief in the above referenced case was served upon each of the following persons, as counsel for Appellees herein, having been accomplished by electronic mail, at the addresses stated below:

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Further, the signed original of Appellant's Brief was transmitted via U.S. Mail to the Clerk of SOUTH DAKOTA SUPREME COURT, 500 E. Capitol, Pierre, SD 57501, as well as filing by electronic service in portable document format to the Clerk of the South Dakota Supreme Court at: SCClerkBriefs@ujs.state.sd.us.

All such service being accomplished the date entered below:

Date: May 25, 2021
/s/ A.J. Swanson
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APPENDICES TABLE OF CONTENTS:

Appendix A

Description: Memorandum Decision (Circuit Judge Elshere) (18 pages) Citation: CR-1528

Appendix B

Description: Order (Circuit Judge Elshere) (2 pages) Citation: CR-1566

Appendix C

Excerpts of "Kranz Easement" (Ex. I-2, R013269) (1 page) R013272-3

Appendix D

List of Studies & Articles Sponsored by Witness Chris Ollson (6 pages) (See List for Record Citations)